

Financial Crises & Macroeconomics

Test Review — Correct Answers with Explanations

Lecture 3 & 4 | Dr. Eman Gamal Eldeen M. Hasan | Economics Department

Q1. [True/False] Peak is the lowest point of a business cycle.

✓ **Correct Answer: FALSE**

Explanation: The Peak is the highest point of a business cycle, representing maximum economic output and employment. The lowest point is called the Trough, where economic activity reaches its minimum before recovery begins.

Q2. [Multiple Choice] The ups and downs of economic activity are called:

- a. Demand shocks
- b. Income loops
- c. Business cycles
- d. Price cycles

✓ **Correct Answer: c. Business cycles**

Explanation: Business cycles refer to the recurring fluctuations in economic activity — the expansions and contractions in output, employment, and other macroeconomic variables over time.

Q3. [Multiple Choice] Unemployment rate measures:

- a. People not working in population
- b. Total workers
- c. Unemployed in labor force
- d. Total firms

✓ **Correct Answer: c. Unemployed in labor force**

Explanation: The unemployment rate measures the percentage of people in the labor force who are actively seeking work but unable to find it — not the entire population, only those who are part of the labor force.

Q4. [True/False] Hyperinflation is extremely rapid inflation.

✓ **Correct Answer: TRUE**

Explanation: Hyperinflation refers to an extremely rapid, out-of-control rise in prices, far beyond normal inflation rates, which severely erodes the purchasing power of a currency.

Q5. [Multiple Choice] During contraction phase:

- a. Output falls
- b. Output rises
- c. Demand rises
- d. Employment rises

✓ **Correct Answer: a. Output falls**

Explanation: During the contraction phase of a business cycle, economic activity slows down — output falls, employment declines, and demand decreases. This is the downward phase between a peak and a trough.

Q6. [True/False] Business cycles describe economic fluctuations.

✓ **Correct Answer: TRUE**

Explanation: Business cycles do indeed describe the recurring fluctuations in economic activity, including the ups and downs in output, employment, and other macroeconomic variables over time.

Q7. [Multiple Choice] The Great Depression occurred mainly during:

- a. 1910s
- b. 1920s
- c. 1930s
- d. 1950s

✓ **Correct Answer: c. 1930s**

Explanation: The Great Depression was characterized by severe economic contraction and high unemployment during the 1930s. By 1933, unemployment had risen to 13 million out of a labor force of 51 million.

Q8. [Multiple Choice] Macroeconomics developed largely after:

- a. World War I
- b. Great Depression
- c. Oil crisis
- d. Industrial Revolution

✓ **Correct Answer: b. Great Depression**

Explanation: Macroeconomics was largely born in the 1930s following the Great Depression. The failure of classical models to explain prolonged high unemployment provided the impetus for its development, and Keynes' The General Theory (1936) became one of its most foundational works.

Q9. [Multiple Choice] The General Theory was written by:

- a. Adam Smith
- b. Friedman
- c. Keynes
- d. Ricardo

✓ **Correct Answer: c. Keynes**

Explanation: The General Theory of Employment, Interest and Money was written by John Maynard Keynes and published in 1936. It became one of the most important works in the history of economics and laid the foundation for modern macroeconomics.

Q10. [Multiple Choice] Keynes argued employment depends on:

- a. Wages only
- b. Taxes
- c. Population

d. Aggregate demand

✓ **Correct Answer: d. Aggregate demand**

Explanation: Keynes argued that it is not wages that determine the level of employment (as classical models had suggested), but rather the level of aggregate demand for goods and services. He also believed governments could intervene to affect output and employment.

Q11. [Multiple Choice] Classical economists believed recessions:

- a. Permanent
- b. Impossible
- c. Caused only by government
- d. Self-correct

✓ **Correct Answer: d. Self-correct**

Explanation: Classical economists believed that recessions were self-correcting — as output falls and demand for labor shifts, wages would decline, leading firms to hire more workers, thus automatically restoring the economy to full employment.

Q12. [Multiple Choice] Stagflation means:

- a. Rapid growth
- b. Growth with inflation
- c. Low inflation
- d. High inflation and high unemployment

✓ **Correct Answer: d. High inflation and high unemployment**

Explanation: Stagflation is defined as a situation in which there is high inflation at the same time there are slow or negative output growth and high unemployment. This phenomenon was experienced in the 1970s and challenged prevailing Keynesian economic thinking.

Q13. [Multiple Choice] Subprime mortgages are:

- a. Safe loans
- b. High-risk loans
- c. Government loans
- d. Export loans

✓ **Correct Answer: b. High-risk loans**

Explanation: Subprime mortgages are loans given to borrowers with poor credit, making them high-risk. Years of low interest rates and lax lending standards led to a surge in these loans, which were bundled into complex financial products like MBS and contributed to the 2008 financial crisis.

Q14. [True/False] Keynes believed government intervention may be needed.

✓ **Correct Answer: TRUE**

Explanation: Keynes believed that governments could and should intervene in the economy to stimulate aggregate demand and lift the economy out of recession, especially during periods when private demand is low.

Q15. [Multiple Choice] Credit crunch means:

- a. Easy borrowing
- b. More spending
- c. Higher exports
- d. Difficult access to credit

✓ **Correct Answer: d. Difficult access to credit**

Explanation: A Credit Crunch occurs when the freeze in credit markets makes it difficult for businesses to access funding for day-to-day operations and investments, leading to a sharp contraction in economic activity.

Q16. [Multiple Choice] Housing bubble occurs when:

- a. Prices fall quickly
- b. Houses disappear
- c. Construction stops
- d. Prices rise excessively

✓ **Correct Answer: d. Prices rise excessively**

Explanation: A Housing Bubble occurs when real estate prices rise far beyond their actual value, driven by excessive demand, speculation, and easy credit. When prices began to fall in 2008, borrowers defaulted on their mortgages, triggering the financial crisis.

Q17. [Multiple Choice] Government bailouts aim to:

- a. Close banks
- b. Reduce taxes
- c. Stop exports
- d. Rescue financial institutions

✓ **Correct Answer: d. Rescue financial institutions**

Explanation: Bailouts were massive government interventions designed to prevent a complete collapse of the financial system by rescuing failing financial institutions during the 2008 financial crisis.

Q18. [Multiple Choice] Resolution mechanisms are used to:

- a. Solve bank failures
- b. Raise inflation
- c. Stop trade
- d. Increase taxes

✓ **Correct Answer: a. Solve bank failures**

Explanation: Resolution Mechanisms involve establishing clear procedures for dealing with failing financial institutions in order to minimize disruption to the financial system during a crisis.

Q19. [True/False] Financial regulation can reduce crisis risks.

✓ **Correct Answer: TRUE**

Explanation: Strengthening financial regulation by enhancing oversight of the financial system helps prevent excessive risk-taking and the buildup of systemic risks, thereby reducing the likelihood and severity of financial crises.

Q20. [Multiple Choice] Mortgage-backed securities are based on:

- a. Government taxes
- b. Mortgage loans
- c. Exports
- d. Car loans

✓ **Correct Answer: b. Mortgage loans**

Explanation: Mortgage-Backed Securities (MBS) are financial products based on mortgage loans — risky mortgages were bundled together into these securities and sold to investors worldwide, playing a major role in triggering the 2008 financial crisis.